



THIS MEMORANDUM OF UNDERSTANDING made at Mumbai

This 6th day of June, 2006

Between

M/s. PRAVAR TRADE INVEST PVT. LTD., A Private Limited Company registered under the Indian Companies Act, 1955 having registered office at 148, Atlanta, Nariman Point, Mumbai 400 021 hereinafter referred to as "the Party of First Part" (which expression shall unless repugnant to the subject, context or meaning thereof be deemed to mean and include its Directors and their respective successors and assigns) of the One Part

to
AND

M/S. SUMER BUILDERS PVT.LTD. a Private Limited Company registered under the Indian Companies Act, 1956 having its registered office at 201, Commerce House, 140 Naginaas Master Road, Fort, Mumbai 400 023 hereinafter referred to as "the Party of the Second Part" (which expression shall unless repugnant to the subject, context or meaning thereof be deemed to mean and include its Directors and their respective successors and assigns) of the Other Part:-

WHEREAS the Party of the First Part have negotiated with various land owners for the purchase of various plots of land situated at Bambolim, Taluka Tiswadi, Panaji, Goa adm. 140000 sq.mtrs. or thereabouts and details of which including the status of zoning is annexed hereto as ANNEXURE-I.

AND WHEREAS the parties hereto have agreed to join together for development of properties at Goa in the name and style of "M/s. LOONKAR DEVELOPERS PVT.LTD." a company registered under the Indian Companies Act, 1956, having authorized capital of Rs. 100,000/- and fully paid-up capital of Rs. 1,00,000/- hereinafter referred to as the "Joint Venture Company".

AND WHEREAS the parties shall have equal shareholding, i.e. 50:50 in the said "M/s. LOONKAR DEVELOPERS PVT.LTD." and shall contribute the funds and carry out the activities jointly as envisaged hereunder.

AND WHEREAS the Party of the First Part through its directors Mr. Pascoal Trindade have executed with the owners the sale deed in respect of various plots of land bearing S.No. 93/2, 93/3 and 93/4 within the limits of Village Panchayat Curca, Bambolim and Talavim, Taluka Tiswadi, registration sub-districts of Ilhas, District of North Goa, totally adm. 97500 sq mtrs. or thereabout.

[Handwritten signatures]

AND WHEREAS the Party of the First Part have finalized the purchase of land bearing S.No.105/1 and 105/2 within the limits of Village Panchayat Curca, Bambolim and Talavlim, Taluka Tiswadi, registration sub-districts of Ilhas, District of North Goa, totally adm. 7750 sq.mtrs. or thereabout and have published the public notice in the local newspapers calling for objection, if any and upon being satisfied with the title shall execute and caused to be executed the sale deed to and in favour of the said joint venture company.

AND WHEREAS the Party of the First Part have agreed to complete the transaction in respect of purchase of various plots of adm. 140000 sq.mtrs. from various owners by executing respective Agreements and Sale Deed and registering the same and also to acquire the title in respect of the plots of land and to take vacant possession of the same. In case there are any tenants and/or occupants in the said plots of land, to get the same vacated and make available vacant plots and make the Title clear and marketable and free from all encumbrances.

AND WHEREAS it is agreed between the parties hereto that the said plots of land shall be transferred in the name of "M/s LOONKAR DEVELOPERS PVT.LTD." by executing sale deed in favour of "M/s LOONKAR DEVELOPERS PVT.LTD." and by registering the same for the purpose of development of various plots of land by constructing building(s) for residential and commercial purposes and shall sell the sub-divided plots and/or residential and commercial premises as may be mutually decided by the parties hereto from time to time.

AND WHEREAS it is specifically agreed that the finance required for purchase of plots of land will be contributed by the Party of the Second Part to the extent of 65% subject to clear, marketable title and free from encumbrances of properties and balance of 35% shall be contributed by the Party of the First Part. It will be the obligation on the part of the Party of the First Part to get the property vacant, clear and free from all encumbrances.

(Signature) (Signature) (Signature)

AND WHEREAS more than 50% of the plots of land envisaged to be purchased are under settlement zone and the Party of the First Part shall get the balance area converted into settlement zone, however, the cost for the same shall be born by the said joint venture company.

AND WHEREAS the parties hereto have negotiated and have arrived at mutually agreeable terms to share the profits accruing from the sale of the various plots of land from the project being developed by the parties hereto jointly on various plots of land agreed to be purchased.

AND WHEREAS the parties hereto after negotiation have now arrived at the terms and conditions as more particularly appearing hereinafter.

NOW THIS M.O.U. WITNESSETH AND IT IS AGREED BY AND BETWEEN THE PARTIES HERETO AS FOLLOWS:-

1. Recital as above shall be the integral part of this M.O.U.
2. Parties hereto shall transact the business of joint development in the name of the said joint venture company and be the equal share holders of the newly constituted company in the name of "M/s. LOONKAR DEVELOPERS PVT. LTD." having their registered office at 201, Commerce House, 140 Nagindas Master Road, Fort Mumbai 400 023.
3. The Party of the First Part shall transfer and/or caused to be transfer the property purchased by Mr. Pascoal Trindade, one of the Director of the Party of the First Part being S.No. 93/2, 93/3 and 93/4 totally adm. 97500 sq.mtrs. to and in favour of the said "M/s. LOONKAR DEVELOPERS PVT. LTD."
4. The parties hereto have agreed that base price of Rs. 120/- per sq.mtrs. shall be considered for the joint development envisaged by and between the parties by the said "M/s. LOONKAR DEVELOPERS PVT. LTD."

[Handwritten signatures and initials]

5. The funding required by the said joint venture company i.e. "M/s. LOONKAR DEVELOPERS PVT. LTD." for the purchase of the various plots of land and the cost of conversion as detailed out in ANNEXURE-I annexed hereto and same shall be contributed by the Party of the First and Second Part hereto in the ratio of 35:65 respectively.
6. The funding required by the said joint venture company i.e. "M/s. LOONKAR DEVELOPERS PVT. LTD." for the purpose of the commercial exploitation of the said plots i.e. construction and development shall be contributed by the Party of the Second Part exclusively. However, the said joint venture company shall bear and pay the interest for such investment of the party of the second part at rate of 15% p.a.
7. The Party of the First Part confirm the receipt of Rs. 2,50,00,000/- in the account of Mr. Pasocal Trinidad from the Party of the Second Part for and towards the consideration payable to the owners and also confirm and acknowledge the receipt of Rs. 3,00,00,000/- vide cheque No. 490569 dated 06/06/2006 in name of the Party of the First Part and confirm the total Rs. 5,50,00,000/-.
8. The profit availed from the joint venture development shall be shared in the following manner:
 - a. The Party of the First Part and/or their nominee/s. 50%
 - b. The Party of the Second Part and/or their nominee/s. 50%
9. It is specifically agreed by and between the parties hereto that the excess fund contributed by the Party of the Second part in the joint venture shall be reimbursed by the joint venture company prior to the withdrawal by the parties hereto out of the sales proceeds.
10. The parties hereto shall pay their statutory liabilities individually as may be required from time to time and shall indemnify each other in respect thereof and the liabilities arising from the business of the joint venture shall be bear and paid by the joint venture company.




11. The parties and the constituents thereto shall run and operate the joint venture for the mutual benefit faithfully and shall not change the share holding pattern of their respective companies without prior consent and knowledge of the other party.

12. It is specifically agreed by and between the parties hereto that the following activities shall be conducted by the Party of the Second Part from their office

- a. Appointment of Architects, Consultants etc.
- b. Sales, Advertisement, Marketing etc.
- c. Providing funding for the development
- d. Day to day management for the above activities

13. It is specifically agreed by and between the parties hereto that the base rate of 1200/- per sq.mtrs. shall be considered for the purchase of plots of land and the same shall include

- a. the consideration payable to the land owner, confirming parties etc.
- b. any other cost which may be payable to settle the tenants, claimants if any
- c. legal cost, fees and charges, incidental to the above
- d. stamp duty and registration charges

It is specifically understood by and between the parties that the above charges and expenses for change of zone shall be born by the said joint venture company. However, the conversion of only approx. 67000 sq.mtrs. is pending and balance land is already converted.

14. It shall be the exclusive responsibility and/or liability of the Party of the First Part

- a. to investigate the title of each of the properties purchased and to clear all encumbrances if any and settle claims if any and obtain vacant possession.

(120)  

d. to indemnify the Party of the Second Part from any claim in respect thereof.

- to satisfy the title of the property

15. The parties hereto shall sign and execute from time to time, such instruments, documents and writings as may be necessary or expedient in pursuance hereof.

16. Each party shall bear the fees of the legal and other professional appointed by them respectively.

17. All disputes or differences whatsoever which shall at any time hereafter (whether during the continuance of this MOU or upon or after its discharge or determination) arise between the parties hereto or their respective successors-in-title and assigns (as the case may be), touching or concerning this MOU or its construction or effect, or as to the rights, duties, obligations, responsibilities or liabilities of the parties hereto or any of them, under or by virtue of this Agreement or otherwise, or as to any other matter in any way connected with or arising out of or in relation to the subject matter of this MOU, shall be referred to arbitration in accordance with and subject to the provisions of the Arbitration and Conciliation Act, 1996, or any statutory modification or re-enactment thereof for the time being in force. Each party shall be entitled to appoint / nominate one Arbitrator and the two Arbitrators so appointed / nominated shall appoint the third presiding Arbitrator. The award of the Arbitrators shall be final and binding on the parties to the reference. The arbitration proceedings shall be held in Mumbai only.


VS



IN WITNESS WHEREOF the parties hereto have hereunto
set and subscribed their respective hands the day and year first
hereinabove written.

SIGNED, CONFIRMED AND DELIVERED for)
and on behalf of the withinnamed)
the Party of the First Part,)

M/s. PRAVAR TRADE INVEST PVT. LTD.)

by its Director/Authorised signatory)

1) Mr. Vikram C. Shah)

2) Mr. Arvindersingh Sethi)

In the presence of)

1) *M. R. Dhany*
M. R. Dhany

PRAVAR TRADE INVEST
PVT. LTD.

DIRECTOR

PRAVAR TRADE INVEST
PVT. LTD.

Arvinder Singh
DIRECTOR

SIGNED, CONFIRMED AND DELIVERED for)
and on behalf of the withinnamed)
the Party of the Second Part,)

M/s. SUMER BUILDERS PVT. LTD.)

by its Director/Authorised signatory)

1) Mr. Ramesh Shah)

2) Mr. Manekchand Loonkar)

In the presence of)

1) *M. R. Dhany*
M. R. Dhany
Advocate

For Sumer Builders Pvt. Ltd. Limited

Manekchand Loonkar
Director

For Sumer Builders Pvt. Ltd. Limited

Ramesh Shah
Director

ANNEXURE - I

	Area Sq.Mtrs	Settle.Zone Sq.Mtrs
2075	2875	0
4875	4875	0
34775	34775	8000
35600	35600	30000
25925	25925	15000
35075	35075	20000
140025	140025	73000

ANNEXURE - II

	Area Sq.Mtrs	Sett.Zone Sq.Mtrs	Rate I	Total	Rate II	Total
2075	2075	0	850	2443750	350	1006250
4875	4875	0	850	4143750	350	1706250
34775	34775	8000	900	31297500	300	10432500
35600	35600	30000	700	24920000	500	17800000
25925	25925	15000	700	18177500	500	13412500
35075	35075	20000	700	24552500	500	17537500
140025	140025	73000		106135000		61895000

USING STRUCTURE

	Total Payable	April 06	May 06	June 06	July 06	August 06	September 06	October 06	November 06	December 06	TOTAL
Contribution by First Part	1.23	0.63	0	0.75	0.5	0.75	0.89	0	0	1.25	4.63
Contribution by Second Part	9.36	1.56	2.5	0.50	1.00	0.88	2.00	0.88	0.88	0.00	9.36
TOTAL FUNDING	10.61	2.19	2.5	1.25	1.5	0.88	2.73	1.04	0.88	0	10.61

Statement of Expenditure till 31/03/2013- Survey No.93/2, 93/3 & 93/4

Survey Nos.	Payment to owner	Sanad	Infrastructure Tax	Construction License Fee	Total
93/2	5055200	815000.00	2091749.00	854079.00	8816028
93/3	3809150	250000.00	908100.00	259200.00	5226450
93/4	4980650	823000.00	2962745.00	1149921.00	9916316
Payment to confirming party					9500000
Sadekar environment engineering					400000
Rajesh Raikar					100000
Compensation to tenants					13850000
legal & prof charges					900000
Bank Charges		4721.00			4721

Total 48713515

Statement of funds received by Late Mr. Pascoal				
1	Loonkar developers & others		38810000	
2	Murli sadarangani		10650000	
3	Pravr trade invest pvt. Ltd		7050000	56510000
less	refunded to Loonkar developers & others			2050000
		Balance with Mr. Pascoal		5746485

Statement of expenses by PVM Associates & others - will send you by tommorrow

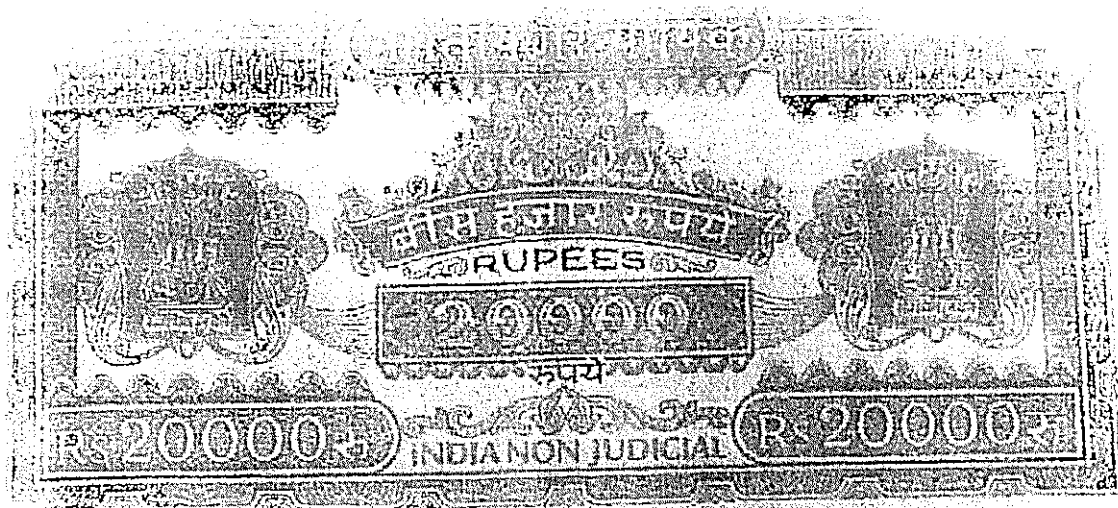
Expenses

PVM Associstes
others

618982

806697

1425679



NORTH GOA

000742

504

Panaji
Rupees twenty Thousand only
Dona Paula

One Lac

Twenty
five thousand
only

Serial No. 117
Presented at the Office of the
Sub-Registrar, Panaji
on 20/4/06

Received fees for Rs. 24600/-
Registration
Copying (Fees) 70
Copying Endorsements 10
Postage

Total Rs. 24680/-

DEED OF SALE

SUB-REGISTRAR

11/11/06

SUB-REGISTRAR
THIS DEED OF SALE is executed on this 25th day of April of the year
Two Thousand and Six (23/04/2006) at Panaji, Taluka of Thivadi,
Registration Sub-District of Ilhas, District of North Goa, in the State of
Goa.